DAY 1 The price goes up by 10%

Say on Day 1, the price of the underlying asset TCS goes up by 10%.

	SELLER	BUYER
Initial Margin	₹60,000	₹60,000
+ 10% (₹3,00,000 x 10%)	(₹30,000)	₹30,000
Balance	₹30,000	₹90,000

SELLER

Since the price has gone up, the buyer of the contract stands at a profit of ₹30,000 (hypothetical). The account balance of buyer stands at ₹90,000. He may withdraw the surplus from the account.

To compensate the Buyer for this profit, the seller will be debited with ₹30,000, his account balance now stands at ₹30,000.

BUYER